

# Revenue & Operations Business Insights Report

Executive Performance Evaluation, Customer Dynamics & Logistics SLA Analysis

Dataset: Brazilian E-Commerce (Olist)

Orders Analyzed: 99,441 Total Orders

Scope: Gold Analytics Layer / Power BI Model

## 1. EXECUTIVE SUMMARY

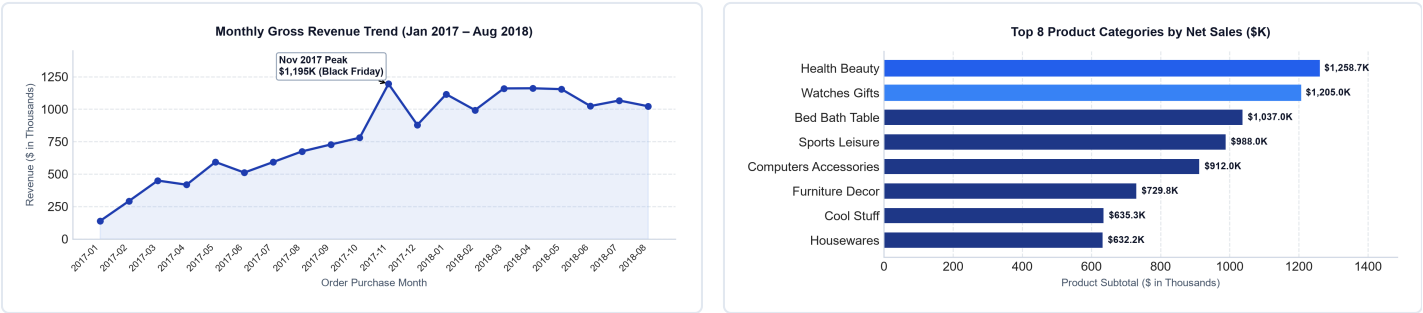
- Financial Scale:** The business generated **\$16.01M** in gross revenue (\$13.59M net product sales + \$2.25M freight) across 99,441 recorded orders, maintaining an Average Order Value (AOV) of **\$160.99**.
- Customer Retention Dynamics:** The customer base is heavily dominated by one-time purchasers. Exactly **96.88%** of buyers made only a single purchase, resulting in a low repeat customer rate of **3.12%** and average orders per customer of **1.03**.
- Fulfillment & Operational Health:** Nationwide on-time delivery reached **89.15%** (average transit time: **12.50 days**), while the dashboard records a **7.17% late delivery rate**, with remaining orders in processing, in-transit, or cancelled status.
- Customer Satisfaction Association:** Delivery timeliness is strongly associated with customer review scores. On-time orders average a healthy **4.29 / 5.00** review score, whereas late deliveries average **2.57 / 5.00**—a difference of **1.72 stars**.
- Geographic Concentration:** Revenue is concentrated in Southeast Brazil, with São Paulo (SP), Rio de Janeiro (RJ), and Minas Gerais (MG) generating **62.6%** of sales. However, RJ exhibits a **12.95%** late delivery rate—more than double SP's 5.72%.

|                                                                           |                                                               |                                                                         |                                                                    |                                                                        |
|---------------------------------------------------------------------------|---------------------------------------------------------------|-------------------------------------------------------------------------|--------------------------------------------------------------------|------------------------------------------------------------------------|
| <b>GROSS REVENUE</b><br><b>\$16.01M</b><br>\$13.59M Net + \$2.25M Freight | <b>TOTAL ORDERS</b><br><b>99,441</b><br>AOV: \$160.99 / Order | <b>REPEAT BUYER RATE</b><br><b>3.12%</b><br>2,997 Repeat / 96,096 Total | <b>ON-TIME DELIVERY</b><br><b>89.15%</b><br>Avg 12.50 Days Transit | <b>OVERALL CSAT</b><br><b>4.09 / 5.0</b><br>On-Time: 4.29   Late: 2.57 |
|---------------------------------------------------------------------------|---------------------------------------------------------------|-------------------------------------------------------------------------|--------------------------------------------------------------------|------------------------------------------------------------------------|

## 2. REVENUE PERFORMANCE

Total revenue reached **\$16,008,872.12**, consisting of \$13,591,643.70 in product sales and \$2,251,909.54 in collected freight charges (freight represents 14.1% of gross revenue). The business exhibited rapid top-line expansion through 2017, culminating in an all-time monthly revenue peak of **\$1.195M** in November 2017 driven by Black Friday demand. Throughout 2018, revenue stabilized into a consistent run rate of approximately \$1.00M to \$1.16M per month.

Product sales are anchored by everyday personal and home categories. The top 5 categories—**Health & Beauty** (\$1.26M), **Watches & Gifts** (\$1.21M), **Bed, Bath & Table** (\$1.04M), **Sports & Leisure** (\$0.99M), and **Computers & Accessories** (\$0.91M)—generate **\$5.40M** (39.7% of all net product sales). Geographically, revenue is heavily centralized in São Paulo (\$6.00M / 37.5%), Rio de Janeiro (\$2.14M / 13.4%), and Minas Gerais (\$1.87M / 11.7%).



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Customer Retention Dynamics, Logistics Fulfillment & Operational SLAs

Unique Customers: 96,096 Buyers

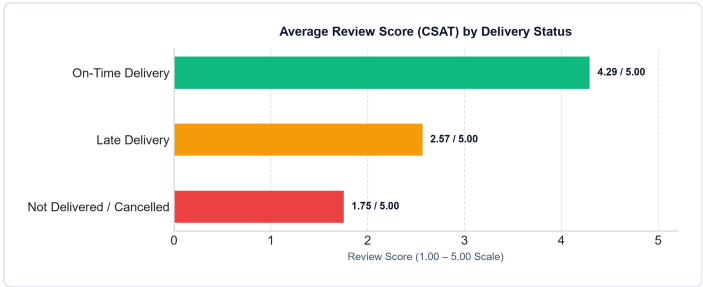
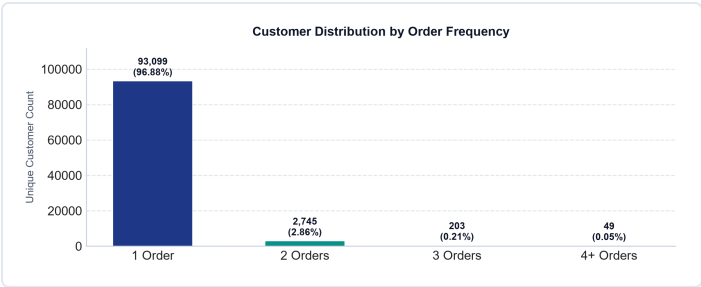
Recorded Orders: 99,441 Orders

Analytics Layer: Databricks Gold Fact / Dim Model

## 3. CUSTOMER ANALYSIS & RETENTION DYNAMICS

The platform recorded **96,096 unique customers** across 99,441 total orders, resulting in an average customer lifetime value (LTV) of **\$166.59**. However, customer purchasing behavior reveals an acute retention pattern: **93,099 customers (96.88%)** made exactly one purchase. Only 2,745 customers placed 2 orders (2.86%), 203 placed 3 orders (0.21%), and 49 placed 4 or more orders (0.05%).

This distribution indicates that platform revenue is almost entirely driven by initial customer acquisition rather than recurring buyer transactions. While transactional marketplace models frequently observe low baseline re-order frequency, this dynamic highlights a significant opportunity for customer lifetime value expansion through structured post-purchase engagement.

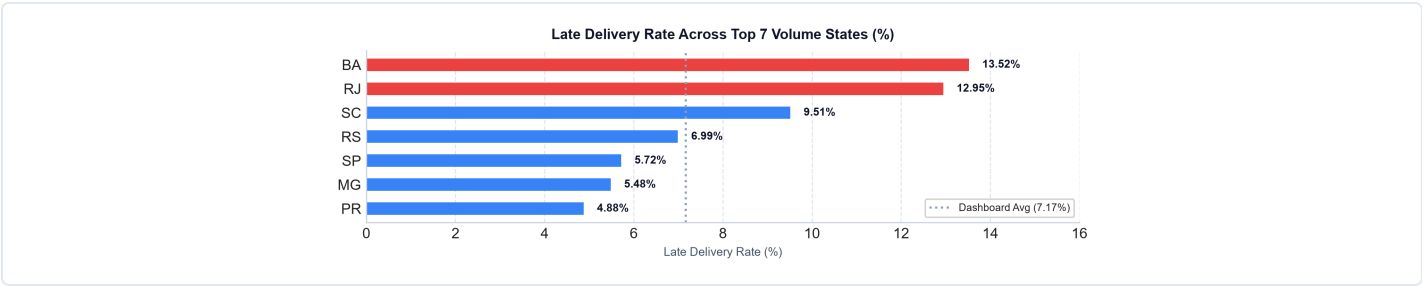


## 4. OPERATIONS & LOGISTICS FULFILLMENT

Across platform orders, **89.15%** were delivered on or before the estimated delivery date, with an average transit time of **12.50 days**. Late deliveries accounted for **7.17%** in the dashboard model. As illustrated in the chart above, delivery timeliness is strongly associated with customer satisfaction: on-time deliveries show an average review score of **4.29 / 5.00**, whereas late deliveries drop to **2.57 / 5.00** (a 1.72-star difference).

Operational performance exhibits notable variation across geographic regions and marketplace sellers:

- **Regional Disparities:** While São Paulo (5.72% late) and Minas Gerais (5.48% late) maintain relatively stable fulfillment performance, high-volume coastal states show elevated delay rates: Rio de Janeiro exhibits a **12.95% late rate**, Bahia records **13.52%**, and Espírito Santo records **12.00%**.
- **Seller SLA Dispersion:** Seller-specific late-delivery rates (late orders divided by each seller's total orders) among active merchants (50+ orders) range from under 3.0% to over **35.3%**, indicating substantial operational variability across seller fulfillment.



5. ACTIONABLE BUSINESS RECOMMENDATIONS

OPERATIONS 1. Monitor Seller Fulfillment SLA Compliance & Latency

**Finding:** Seller-specific late delivery rates range from under 3% to over 35% among active marketplace sellers.

**Business Implication:** Sellers with recurring fulfillment delays negatively impact customer delivery outcomes and satisfaction.

**Recommended Action:** Establish seller performance monitoring scorecards to track fulfillment timeliness, and consider operational review thresholds for merchants exhibiting persistent delivery delays.

LOGISTICS 2. Investigate Regional Logistics Friction in High-Volume States (RJ, BA, ES)

**Finding:** Rio de Janeiro (12.95% late rate) and Bahia (13.52% late rate) experience more than double the delay rate of São Paulo (5.72%).

**Business Implication:** Elevated late rates in Rio de Janeiro (\$2.14M in revenue) weaken delivery reliability in the platform's second-largest geographic market.

**Recommended Action:** Audit regional carrier routes in high-delay corridors and evaluate calibrating estimated delivery date (EDD) lead times to better align customer expectations with regional transit realities.

GROWTH & CRM 3. Test Targeted Post-Purchase Re-Engagement Initiatives

**Finding:** 96.88% of customers are single-order buyers, yielding a repeat purchase rate of only 3.12%.

**Business Implication:** The platform relies predominantly on new customer acquisition rather than repeat customer revenue.

**Recommended Action:** Test targeted post-purchase communications (such as replenishment reminders in consumable categories like Health & Beauty) to encourage second-order consideration.

MERCHANDISING 4. Prioritize Operational Stability in Core Product Categories

**Finding:** The top 5 product categories generate \$5.40M (39.7% of product sales), led by Health & Beauty and Watches & Gifts.

**Business Implication:** Delivery delays or fulfillment issues in these primary categories disproportionately affect overall platform revenue and customer perception.

**Recommended Action:** Maintain close operational monitoring and prioritize merchant fulfillment reviews for top-revenue categories to ensure steady order execution.

6. NEXT ANALYTICAL STEP: DELIVERY RISK PREDICTION

Machine Learning Predictive Modeling Phase

"Predict whether an order is at risk of late delivery early enough for the business to intervene."

This objective follows naturally from the dashboard findings, which establish a clear association between delivery delays and lower customer review scores (dropping from 4.29 to 2.57 stars). By developing a supervised classification model at the point of order approval, operations can proactively identify orders with elevated risk of delay—leveraging historical seller latency, customer destination, and shipping attributes—to evaluate early operational interventions before an SLA breach occurs.

| Pipeline Layer | Table Name       | Granularity / Business Role            | Key Metrics Verified                                         |
|----------------|------------------|----------------------------------------|--------------------------------------------------------------|
| Gold Fact      | fact_orders      | Order grain (99,441 records)           | Gross Revenue (\$16.01M), On-Time Rate (89.15%), CSAT (4.09) |
| Gold Fact      | fact_order_items | Order-Item grain (102,425 records)     | Product Subtotal (\$13.59M), Freight Collected (\$2.25M)     |
| Gold Dimension | dim_customers    | Unique Customer grain (96,096 records) | Repeat Rate (3.12%), Average LTV (\$166.59)                  |